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Enron's German Shares Drop After WSJ Says It Seeks $2 Billion
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USA: Enron seeks $2 bln infusion from buyout firms-WSJ.
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Dabhol serves asset transfer notice on MSEB
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Shell: Enron India Oil, Gas Assets Buy Talk "Speculative"
Dow Jones Energy Service, 11/06/01
Enron Plans To Sell 50% Of S Korean JV With SK Corp
Dow Jones International News, 11/06/01

Tractebel, Enron In 245 MW Mexican Cogeneration Project
Dow Jones International News, 11/06/01

Seven Oil-Services, Drilling Firms Record 10% Share-Price Hit Last Week.
The Oil Daily, 11/06/01
Gas Prices Plunge on Weather Forecasts, Enron-Linked Market Maneuvers.
The Oil Daily, 11/06/01
Enron Credit Web Site Lists No Rating For Enron Corp.
Dow Jones News Service, 11/05/01

Enron Seeks Cash Infusion Of $2 Billion
By Wall Street Journal staff reporters Robin Sidel and Kara Scannell in New York and Rebecca Smith in Los Angeles

11/06/2001
The Wall Street Journal
A3

Enron Corp., looking to convince Wall Street that it can cope with an escalating financial crisis, has held initial discussions with private-equity firms and power-trading companies for a capital infusion of at least $2 billion, people familiar with the matter say.

The Houston energy concern, unable to tap the public capital markets at a time when it needs to shore up its balance sheet, has approached such big-name buyout firms as Blackstone Group and Clayton, Dubilier & Rice to gauge their interest. Enron seeks a cash infusion in exchange for an equity stake in Enron, among other terms. In addition, a number of companies involved in power trading, a core business for Enron, have expressed an interest in making an investment. The identity of the companies making overtures couldn't be determined. Prominent energy companies with power-trading operations include Anglo-Dutch oil concern Royal Dutch/Shell Group, Dynegy Inc., Duke Energy Corp., of Charlotte, N.C., Reliant Energy Inc., of Houston, and El Paso Corp., also of Houston. Another well-known investor from outside the industry was approached but declined Enron's offer.

Enron needs the infusion in part because its previously announced plans to raise cash through the sale of power assets is going more slowly than expected. Mostly, though, it needs to restore its credibility with Wall Street at a time when its access to the financing markets is drying up. One potential financier is General Electric Co.'s GE Capital unit, which also has been approached by Enron. GE, of Fairfield, Conn., has no interest in an outright takeover of Enron, but it could take on a small stake or make a financing commitment and it has had discussions to that effect, according to one person familiar with the matter. GE declined comment.

"You would expect everybody that is in the business and understands power trading would make a phone call," one person familiar with the matter said. A capital infusion would be one way to help restore Enron's credibility with Wall Street, as it would show that the so-called smart money is willing to bet on a turnaround. Enron Chairman Kenneth Lay is eager to secure a deal as early as this week, these people say.

An Enron representative declined to comment, as did a spokesman for Dynegy. Spokesmen for Blackstone and Clayton, Dubilier & Rice declined comment.

Enron has been rocked by last month's disclosure of a $1.2 billion reduction in its equity base partly tied to financial dealings with company partnerships headed by Enron's former chief financial officer. Last month, it reported a third-quarter loss of $618 million. The Securities and Exchange Commission has launched a formal investigation into the matter. Last week, Enron secured $1 billion in new credit lines, using gas-pipeline assets as collateral.

Enron's stock price has tumbled in line with the developments, falling more than 60% since mid-October. At 4 p.m. in New York Stock Exchange composite trading, Enron was down 13 cents at $11.17.

Yesterday, ratings concern Fitch Inc. downgraded Enron's senior unsecured debt to triple-B-minus from triple-B-plus. Enron's senior unsecured debt now is rated just a notch above junk bond, or high-yield, status. Last week, Standard & Poor's Corp. lowered its credit rating on Enron to triple-B, while Moody's Investors Service lowered its rating to Baa2.

Given such high-profile problems, the declining stock price and potential for further SEC action, any investors likely would insist on a close scrutiny of Enron's finances and may seek board seats in exchange for a stake. One potential investor said his firm was unlikely to make a commitment

unless Enron offered terms that were too good to pass up.
"It is inherently risky to invest in a company that is under investigation, when the outcome of that investigation is unknown," said Joel Papernick, a partner in New York at Mintz, Levin, Cohn, Ferris, Glovsky and Popeo, a law firm that isn't involved in the matter.
Any transaction likely would take the form of a convertible-preferred stake, in which an investor receives a safe, bond-like interest payment and then can convert that holding into common stock after the share price rises to a specified level. It also is possible that Enron would enter such transactions with more than one party. For instance, a $2 billion investment may be too big for one private-equity firm, so Enron may need to get a couple of potential investors on board. Another way to shield an investor's risk could be for a private-equity firm to invest in an asset owned by Enron instead of investing in the parent company.
Analysts are divided as to whether Enron will seek an investment from a private equity firm or a company that already is in the power-trading business. Some analysts say the most logical investor would be someone who already understands the deregulated energy markets that Enron helped pioneer. There also are social factors that could influence whose infusion of cash, ultimately, is accepted.
Dynegy long has been regarded as an Enron "wannabe," because it has a history of following moves that Enron has made. After Enron purchased the Portland General Electric utility in 1997, Dynegy made a successful bid to buy Illinova Corp. which it acquired in February 2000. After Enron launched its successful Internet-based commodities trading platform, EnronOnline, in November 1999, Dynegy developed its rival DynegyDirect platform.
One big difference between the two companies is that Enron has pursued an "asset light" strategy in recent years, trying to control the output of gas fields and power plants without actually owning them. Dynegy has been much more comfortable owning hard assets and was a big purchaser of power plants in California in 1998, for example.
The two companies, with headquarters in downtown Houston, are seen as die-hard rivals. That could make it difficult for Mr. Lay to accept any overture from Dynegy Chairman Chuck Watson. Dynegy's largest single investor is ChevronTexaco Corp., of San Francisco, which has profited handsomely from a 28% equity stake in Dynegy.
An overture from Coral Energy, Royal Dutch Shell's marketing and trading unit, might receive a more receptive response from Enron, some onlookers say.
Coral isn't one of the biggest energy traders, but it carries a triple-A rating that is unusual for an energy-trading concern. Coral acts as the exclusive marketer of Shell's North American natural-gas production, as well as for the power generation, gas pipeline and gas-storage assets controlled by InterGen, a joint venture of Shell and Bechtel Group Inc., the big San Francisco engineering and consulting firm.

Matt Murray contributed to this article.

COMPANIES & FINANCE - INTERNATIONAL - Fitch lowers Enron rating.
By SHEILA MCNULTY and JENNY WIGGINS.

11/06/2001
Financial Times

Fitch yesterday pushed Enron's main debt rating to the bottom rung of the investment-grade category, while lowering its subordinated debt to "junk" status.
Fitch, therefore, became the first major rating agency to lower at least some of the debt of the embattled energy trading company to below investment grade.

Moody's and Standard & Poor's already have downgraded Enron's main debt rating, but kept it two notches above "junk status".
Enron must maintain an investment-grade rating to continue to trade successfully. Without that the company could be subject to a rise in margin requirements or a reduction in credit lines by trading partners.
Fitch's downgrade flew in the face of an intensive campaign by Enron to convince the rating agencies its business was sound despite a crises of confidence since October 16, when the Texas-based company disclosed an off balance sheet adjustment that shocked the market.
Enron's share price has plunged since then, as analysts and investors have made an issue of the company's transparency. It has been forced to draw on existing lines of credit and seek new ones. It has replaced its chief financial officer and the SEC has started an investigation.
Fitch warned that it would consider cutting Enron's ratings still further if it failed to reduce its debt, its trading business showed signs of deterioration, or if expenses and charges related to the disposition of non-core businesses and investments were to exceed estimates.
"Today's rating action reflects the difficulties Enron faces in managing its liquidity position in the face of an erosion in investor confidence," Fitch said.
Fitch downgraded Enron's senior unsecured debt to BBB-from BBB+; subordinated debt to BB from BBB; and preferred stock to B+ from BBB-. It also downgraded Enron's commercial paper to F3 from F2, and lowered the senior unsecured debt ratings of its pipeline subsidiaries to BBB-from A-.
"While its current cash position appears adequate, securing additional capital sources through asset sales or raising additional capital would be a favourable development," Fitch said.

Business; Financial Desk
IN BRIEF / ENERGY Enron Debt Ratings Are Lowered by Fitch
Reuters

11/06/2001
Los Angeles Times
Home Edition
C-4

Fitch cut its ratings on the debt of Enron Corp. and warned it may cut ratings again if the energy trader does not reduce its debts, if its trading business deteriorates or if charges exceed present estimates.
Fitch cut Enron's senior unsecured debt to "BBB-minus," one notch above junk, from "BBB-plus," its subordinated debt to "BB" from "BBB," and its commercial paper to "F3" from "F2." The rating agency also downgraded its preferred stock to "B-plus" from "BBB-minus."
Fitch said reducing debt and exiting problem businesses are a management priority, and if Enron is successful, the company's credit profile will improve. Fitch's cut follows downgrades last week by Moody's Investors Service and Standard & Poor's. Houston-based Enron lined up $1 billion of new credit last week but may have to sell assets to head off a credit squeeze and restore investor confidence, according to investment bankers.
Shares of Enron were down 13 cents to close at $11.17 apiece on the New York Stock Exchange.

Nov. 6, 2001, 12:08AM
Houston Chronicle
Fitch downgrades Enron's debt rating
NEW YORK -- Fitch cut its ratings Monday on the debt of embattled energy trader Enron Corp. and warned that it may reduce the ratings again if the company does not decrease its debts, if its trading business deteriorates or if charges exceed present estimates.
"Today's rating action reflects the difficulties Enron faces in managing its liquidity position in the face of an erosion in investor confidence," Fitch said.
Fitch cut Houston-based Enron's senior unsecured debt to BBB-minus, one notch above junk, from BBB-plus; its subordinated debt to BB from BBB; and its commercial paper to F3 from F2. The rating agency also downgraded Enron's preferred stock to B-plus from BBB-minus.
Fitch said reducing debt and exiting problem businesses are a priority, and if Enron is successful, the company's credit profile will improve.
Fitch's cut follows downgrades last week by Moody's Investors Service and Standard & Poor's.
Enron's shares have lost more than 65 percent in less than a month amid concerns about financial practices that triggered an investigation by the Securities and Exchange Commission.
Also Monday:
? Enron's Dabhol Power Project has served an asset transfer notice to its sole customer, the Maharashtra State Electricity Board, the first formal step toward the U.S. energy company's exit from the $2.3 billion project in India.
? Enron is in talks to sell its half stake in a natural gas venture with SK Corp., an official of Korea's top oil refiner said.

Enron Seeks Investors to Raise $2 Billion in Cash, WSJ Says
2001-11-06 02:31 (New York)

Houston, Nov. 6 (Bloomberg) -- Enron Corp., the largest energy trader which has lost 86 percent of its market value this year, is striving to raise at least $2 billion in cash by asking private-equity firms and power-trading companies to buy stakes, the Wall Street Journal said, citing unidentified people familiar with the matter.

Enron held preliminary talks with Blackstone Group LP and Clayton, Dubilier & Rice Inc. to discuss a cash infusion, the paper said. Additionally, a number of unidentified power-trading companies have expressed an interest in investing in Enron, the Journal said.

The Fitch rating agency said it may cut Enron Corp.'s credit rating to below investment grade if Enron fails to cut debt or if its business slows further. Enron is struggling to borrow money after the U.S. Securities and Exchange Commission started investigating partnerships run by former chief financial officer.

The partnerships bought and sold Enron shares and assets, with the trades costing Enron $35 million and $1.2 billion in lost shareholder equity.

Enron Chairman Kenneth Lay wants to secure an investment as early as this week, the Journal said. The company has also talked with General Electric Co.'s GE Capital unit, which might be interested in taking a small stake in Enron or in making a financial commitment, the paper said, citing an unidentified person familiar with the matter.

Enron approached the private-equity firms because previously announced plans to raise cash by selling assets have slowed, the paper said. An investment by a private-equity firm could restore the company's credibility with Wall Street, the paper reported.

An investment in a company under investigation is risky and Enron may need more than one investor to secure the $2 billion it wants, the Journal said. Investors are likely to prefer a convertible-preferred stake that would pay them interest, like a bond, and yet could still be traded for stock once the share price rises to an agreed target, the Journal said.

Analysts are split between those that think Enron want a private equity firm to invest and those that say Enron will opt for a company in the same business, the Journal reported.

Enron's German Shares Drop After WSJ Says It Seeks $2 Billion
2001-11-06 06:53 (New York)

Houston, Nov. 6 (Bloomberg) -- Enron Corp.'s German shares fell as much as 6 percent after the Wall Street Journal reported the No.1 energy trader is seeking to raise at least $2 billion by selling stakes to private equity firms and power traders.

Enron held talks with Blackstone Group LP and Clayton, Dubilier & Rice Inc. the paper said. A number of unidentified power-trading companies also are interested in investing, the Journal said, naming Dynergy Corp., Duke Energy Corp. and Reliant Energy Inc. as potential stakeholders.

Houston, Texas-based Enron is seeking investors because its plan to sell assets has slowed, the paper said. An investment by a private equity firm may bolster the company's reputation as fund raising in falling stock markets gets harder, the Journal said.

Investing in a company under investigation is risky, though, and Enron may need more than one investor to secure the cash, the paper said. Investors will prefer a convertible-preferred stake that will pay interest, like a bond, and yet may still be traded for stock if the shares rise to an agreed target.

The company's shares in Germany fell as much as 78 cents to 12.10 euros. The stock declined 86 percent this year.

Chairman Kenneth Lay wants to secure an investment as early as this week, the Journal reported. Enron also talked with General Electric Co.'s GE Capital unit, which may be interested in taking a small stake, the paper said, citing an unidentified person familiar with the matter.

Analysts Split

Analysts are split between those who think Enron wants a private equity partner and those who say Enron will opt for a company in the same business, the Journal reported.

The Fitch rating agency said it may cut Enron Corp.'s credit rating to below investment grade if it fails to cut debt or if its business slows further. Enron is struggling to borrow money after the U.S. Securities and Exchange Commission started investigating partnerships run by former Chief Financial Officer Andrew Fastow.

The partnerships bought and sold Enron shares and assets. Those trades cost Enron $35 million and $1.2 billion in lost shareholder equity. Concern over Enron's dealings with the partnerships have shut it out of commercial-paper markets, where most large corporations go to find low-interest, short-term debt.

USA: Enron seeks $2 bln infusion from buyout firms-WSJ.

11/06/2001
Reuters English News Service

NEW YORK, Nov 6 (Reuters) - Struggling energy giant Enron has held initial discussions with private-equity firms and power-trading companies for a capital infusion of at least $2 billion, the Wall Street Journal reported on Tuesday.
The company has approached such big-name buyout firms as Blackstone Group and Clayton, Dubilier & Rice to gauge their interest, the Journal reported in its online edition, citing people familiar with the situation.
The Journal said Enron and the buyout firm declined comment.
The report also said a number of companies involved in Enron's core business, power trading, had expressed an interest in making an investment. But it said it could not determine who the companies were.
British newspaper, the Independent on Sunday, reported that energy giant Royal Dutch/Shell Group was believed to be about to mount an $11-billion bid for Enron.
One potential financier is General Electric Co's GE Capital unit, which also has been approached by Enron, the Journal said in its report.
GE is not interested in an outright takeover of Enron, but has had discussions on taking a small stake in the company or making a financing commitment, the Journal said.
On Monday Enron Corp took another hit when its credit rating was cut to near junk status as an uproar continued over business deals that were being questioned.
The company has been under attack from Wall Street for failing to explain off-the-balance sheet transactions that led to a $1 billion charge and a $1.2 billion write-down of shareholder equity three weeks ago.

Enron Seeks $2 Billion Cash Infusion as It Faces an Escalating Fiscal Crisis

11/06/2001
Dow Jones Business News

Enron Corp., looking to convince Wall Street that it can cope with an escalating financial crisis, has held initial discussions with private-equity firms and power-trading companies for a capital infusion

of at least $2 billion, people familiar with the matter told The Wall Street Journal.
The Houston energy concern, unable to tap the public capital markets at a time when it needs to shore up its balance sheet, has approached such big-name buyout firms as Blackstone Group and Clayton, Dubilier & Rice to gauge their interest. Enron (ENE) seeks a cash infusion in exchange for an equity stake in Enron, among other terms. In addition, a number of companies involved in power trading, a core business for Enron, have expressed an interest in making an investment. The identity of the companies making overtures couldn't be determined. Prominent energy companies with power-trading operations include Anglo-Dutch oil concern Royal Dutch/Shell Group, Dynegy Inc., Duke Energy Corp., of Charlotte, N.C., Reliant Energy Inc., of Houston, and El Paso Corp., also of Houston. Another well-known investor from outside the industry was approached but declined Enron's offer.
Enron needs the infusion in part because its previously announced plans to raise cash through the sale of power assets is going more slowly than expected. Mostly, though, it needs to restore its credibility with Wall Street at a time when its access to the financing markets is drying up. One potential financier is General Electric Co.'s GE Capital unit, which also has been approached by Enron. GE, of Fairfield, Conn., has no interest in an outright takeover of Enron, but it could take on a small stake or make a financing commitment and it has had discussions to that effect, according to one person familiar with the matter. GE declined comment.
A capital infusion would be one way to help restore Enron's credibility with Wall Street, as it would show that the so-called smart money is willing to bet on a turnaround. Enron Chairman Kenneth Lay is eager to secure a deal as early as this week, these people say.
An Enron representative declined to comment, as did a spokesman for Dynegy. Spokesmen for Blackstone and Clayton, Dubilier & Rice declined comment.
Enron has been rocked by last month's disclosure of a $1.2 billion reduction in its equity base partly tied to financial dealings with company partnerships headed by Enron's former chief financial officer. Last month, it reported a third-quarter loss of $618 million. The Securities and Exchange Commission has launched a formal investigation into the matter. Last week, Enron secured $1 billion in new credit lines, using gas-pipeline assets as collateral.
Enron's stock price has tumbled in line with the developments, falling more than 60% since mid-October. At 4 p.m. in New York Stock Exchange composite trading, Enron was down 13 cents at $11.17.

Enron seeks 2 bln usd cash injection in exchange for equity stake - report

11/06/2001
AFX News

WASHINGTON (AFX) - Enron Corp has held initial discussions with private equity firms and power-trading companies for a capital infusion of at least 2 bln usd, people familiar with the matter were quoted as telling the Wall Street Journal.
Enron seeks a cash infusion in exchange for an equity stake, among other terms.
The buyout firms approached include Blackstone Group and Clayton, Dubilier & Rice, the newspaper reported.
In addition, a number of companies involved in power trading, a core business for Enron, have expressed an interest in making an investment.
Prominent energy companies with power-trading operations include Royal Dutch/Shell Group.
Shares of Royal Dutch and Shell rose yesterday after UK press reports that the Anglo-Dutch

combine may be lining up an 11 bln usd bid for Enron.
The Journal said Enron needs the cash infusion to restore its credibility with Wall Street and because its previously announced plans to raise cash through the sale of power assets is going more slowly than expected.
jms
For more information and to contact AFX: www.afxnews.com and www.afxpress.com

Enron Long-Term Debt Rating May Be Cut to Junk Status by Fitch
2001-11-06 01:11 (New York)

Enron Long-Term Debt Rating May Be Cut to Junk Status by Fitch

Houston, Nov. 6 (Bloomberg) -- The Fitch rating agency said it may cut Enron Corp.'s credit rating to below investment grade if the world's biggest energy trader fails to cut debt or if its business slows further.

Fitch yesterday cut Enron's long-term credit rating two notches to the lowest investment grade, or ``BBB-,'' from ``BBB+.'' On Friday, Standard & Poor's cut Enron's rating one notch to S&P's second-lowest investment grade, or ``BBB,'' from ``BBB+.''

Enron, which has lost more than 86 percent of its market value this year, is struggling to borrow money after the U.S. Securities and Exchange Commission started investigating partnerships run by its former chief financial officer. The partnerships bought and sold Enron shares and assets, with the trades costing Enron $35 million and $1.2 billion in lost shareholder equity.

Fitch said in a statement that its downgrade reflects ``the difficulties Enron faces in managing its liquidity position in the face of an erosion in investor confidence.''

Talks

Enron has held preliminary talks with private-equity firms and power-trading companies to raise at least $2 billion, the Wall Street Journal reported today, citing unidentified people familiar the matter.

Enron has approached Blackstone Group LP and Clayton, Dubilier & Rice Inc. to discuss a cash infusion in exchange for a stake in the company, the paper said. Additionally, a number of unidentified power-trading companies have expressed an interest in making an investment in Enron, the Journal said.

Questions about Enron's dealings with the partnerships have shut it out of commercial-paper markets, where most large corporations go to find low-interest, short-term debt.
Goldman Sachs Group Inc. refused to participate in a $1 billion loan to Enron because it was unwilling to risk its capital

on a client with falling credit ratings that has been using its investment-banking services less often, according to people familiar with the matter.

Still, Enron secured a $1 billion loan from J.P. Morgan Chase & Co. and Salomon Smith Barney Inc. after agreeing to use the company's natural-gas pipelines as collateral.

Cash

``While its (Enron's) current cash position appears adequate, securing additional capital sources through asset sales or raising additional capital would be a favorable development,'' Fitch said.

Enron Corp. is in talks to sell its half stake in a natural gas joint venture with SK Corp., an official of Korea's top oil refiner said yesterday. Enron said in 1998 the gas distribution venture with SK would have a capitalization of about $450 million.

``Enron will probably sell its Korean operations at a loss because of its financial problems,'' Lee Kwang Hoon, an analyst at Good Morning Securities Co. in Seoul, said yesterday. Enron's difficulties raising funds may prompt it to pull out of all of its overseas ventures except for China, he said.

Fitch also cut its rating on Enron's subordinated debt to ``BB,'' or below investment grade status.

--Reinie Booysen in Singapore (65) 212 1154

COMPANIES & FINANCE THE AMERICAS - Lower power prices aid PG&E Corp.
By JULIE EARLE.

11/06/2001
Financial Times

PG&E Corp, the owner of Pacific Gas & Electric, yesterday said that wholesale power prices had stabilised in California, and its reorganisation was progressing well.
This suggests the worst might be over in the state's power crisis, which sent prices soaring and dragged PG&E into bankruptcy.
Enron, the US energy trader, which is among PG&E's 30,000 creditors and is owed $500m, also said recently that the California situation was improving.
PG&E filed for Chapter 11 bankruptcy protection in April after it amassed nearly $9bn in debt by buying power on the open market at sharply higher prices that it could not pass on to customers.
PG&E Corp yesterday said that the cost of buying electricity for PG&E dropped 69 per cent to $697m in the third quarter, from $2.23bn a year ago.
The average price of power in California is 75 per cent lower than in the year-ago quarter.
"Prices have stabilised as we predicted they would. If customers can see the true cost of power then they will regulate themselves," said a PG&E Corp spokesman.
"Now, usage is down and prices have come down," he added.
The lower electricity costs helped PG&E Corp to more than treble its third-quarter net income to $771m, or $2.12 a share, from $225m, or 62 cents a share a year ago.
Sales fell 16 per cent to $6.3bn, from $7.5bn.

Peter Rigby, utilities analyst at Standard & Poor's, the credit rating agency, yesterday said that there was "guarded optimism" that the trend of lower wholesale prices would continue.
PG&E Corp said it hoped to learn before the year-end that its restructuring plan filed in September was "reasonable". The plan is to split the parent and the utility into stand-alone companies, with the transfer of some assets to PG&E's unregulated units.
Ratepayers, however, fear that such a move would take PG&E as well as another utility, Southern California Edison, out of the oversight of the state regulatory body, the California Public Utilities Commission (CPUC).
Kenneth Lay, chairman of Enron, said recently that a settlement with the CPUC to keep Edison out of bankruptcy was good news for the California power situation.

ASIA-PACIFIC - Enron unit set to quit project.
By KHOZEM MERCHANT.

11/06/2001
Financial Times

Dabhol Power Company, the Indian arm of the troubled Enron energy group, yesterday moved closer to abandoning its role in a controversial $2.9bn power project near Bombay.
DPC said it was preparing to hand over the 2,184MW asset to its sole customer, Maharashtra State Electricity Board, and would demand compensation based on an independent valuation.
Bankers said that, under the terms of the contract, MSEB was obliged to buy the distressed asset because it had defaulted on payments, the cause of a breakdown in relations between the two parties.
Yesterday MSEB said it refused to take "cognisance" of DPC's issue of a "notice of asset transfer" because the Indian company had withdrawn from the contract six months ago, an act of defiance which DPC says was invalid.
MSEB ceased taking power from the plant in May, alleging contractual misrepresentation. Phase one of the complex is complete and the second stage was approaching completion before the dispute effectively killed off work.
"This notice formally sets in motion the valuation process of Dabhol's assets in connection with the termination of the power purchasing agreement," DPC said yesterday.
The US company's initiative yesterday comes days before it can legally issue a final termination notice on the $2.9bn power project and amid a flurry of financial diplomacy by the project's Indian and foreign lenders to salvage the country's biggest foreign direct investment.
Indian financial institutions, which carry a large exposure to the project as lenders and as guarantors of foreign loans, are under pressure to find a solution ahead of the visit by Atal Behari Vajpayee, Indian prime minister, to Washington this week.
Enron's move runs parallel to efforts by Kenneth Lay, chairman of the Houston-based company, to seek full compensation of about $1bn for itself and two smaller US equity holders, General Electric and Bechtel. The fourth and final equity holder is MSEB, which holds a 15 per cent stake.

Business/Financial Desk; Section W
World Business Briefing Asia: India: Utility Transfer Notice
By Saritha Rai (NYT)

11/06/2001
The New York Times
Page 1, Column 3

Dabhol Power, the Indian unit of the Enron Corporation, served an asset transfer notice yesterday to the utility of the western Indian state of Maharashtra. This takes Dabhol a step closer to terminating its agreement to sell power to the state utility, its only customer. Dabhol and Maharashtra have been involved in a payment dispute. Dabhol said the notice was necessary to protect the interests of its sponsors, lenders and other stakeholders. The company will probably serve the final termination notice soon to continue the legal process against the state utility, a company statement said. Saritha Rai (NYT)

Dabhol serves asset transfer notice on MSEB
Our Corporate Bureau Mumbai

11/06/2001
Business Standard
1

The Enron-promoted Dabhol Power Company (DPC) today served a notice of asset transfer on the Maharashtra State Electricity Board (MSEB). This notice is a precursor to issuing a final termination notice (FTN) to the board and
formally kicks off the process of valuation of DPC's assets, a statement issued by the company said.
DPC had secured the permission of its lenders for serving the transfer notice in early October. The transfer notice is yet another step in the Enron saga following its payments dispute with MSEB.
DPC had served a preliminary termination notice in May, 2001 and MSEB had retaliated by rescinding the power purchase agreement (PPA) and refusing to buy power. After the serving of the preliminary notice, there was a cooling off period of six months. This was to give the two sides enough time to arrive at an amicable solution, failing which a FTN has to be served.
"DPC would still prefer to resolve this dispute amicably through negotiated purchase by the Indian government and financial institutions of the foreign sponsors' equity, including offshore lenders' debt. However, ongoing discussions between DPC, the Indian government and FIs are yielding no significant progress toward a fair and reasonable solution. Consequently, DPC is left with little choice other than to serve the transfer notice to MSEB, which draws us closer to final termination of the PPA," the DPC statement added.

Enron to bring curtains down on India power project

11/06/2001
Agence France-Presse

BOMBAY, Nov 6 (AFP) - United States-based Enron Corp's Indian subsidiary said Tuesday it will serve a final termination notice to officially close a controversial power project in India's western Maharashtra state.

The Dabhol Power Company Ltd. (DPC), will serve the notice to the Mahrashtra State's Electricity Board (MSEB) after November 19 when the six-month deadline for resolving a payment dispute ends, an Enron official told AFP.
Enron holds a 65-percent stake in DPC, which set up the 2.9 billion dollar power project -- the single largest US investment in India.
The MSEB is a stakeholder in Dabhol Power Company.
The 2,1984-megawatt plant stopped generating electricity in the middle of last year after the MSEB, its sole client, failed to clear its long-overdue bills.
MSEB also later refused to buy any more power following a dispute over tariffs.
Enron served on Monday an "asset transfer notice" to MSEB for the valuation of company's plant and machinery, in order to sell these off.
"We will now appoint a valuer to value the assets and then transfer them to MSEB for the price that the valuer arrives at.
"It (Enron) was left with no choice other than to serve the transfer notice as the ongoing discussions with the government of India, Indian financial institutions are yielding no significant progress toward a fair and reasonable solution," he added.
In a statement Dabhol Power said the asset transfer notice follows more than two years of late payments and defaults in payments from the electricity board and a repudiation of the power purchase agreement by the board.
It said: "Following the transfer notice, the final termination notice is likely to be served in the near future to continue the legal process against the board."
Enron and the government are in talks to sell Dabhol Power to the government.
Indian state-owned financial institutions have lent 1.4 billion dollars to the project, while foreign lenders have an exposure of 600 million dollars.
Loans by foreign lenders are guaranteed by the federal government, but the Indian lenders do not have the same cover.
Foreign lenders in May this year authorised the power company to issue a preliminary termination notice to MSEB after payment defaults.
jds/bm/an/dv

Enron unit DPC serves notice to close India power project

11/06/2001
AFX News

BOMBAY (AFX-ASIA) - Enron Corp unit Dabhol Power Company Ltd said it will serve a final termination notice to officially close its power project in western Maharashtra state.
DPC will serve the notice to the Maharashtra State's Electricity Board (MSEB) after November 19 when the six-month deadline for resolving a payment dispute ends, an Enron official told Agence France-Presse.
Enron holds a 65 pct stake in DPC, which set up the 2.9 bln usd power project, the single largest US investment in India. The MSEB is a stakeholder in Dabhol Power Company.
The plant stopped generating electricity in the middle of last year after the MSEB, its sole client, failed to clear its long-overdue bills. MSEB also later refused to buy any more power following a dispute over tariffs.
Enron served on Monday an "asset transfer notice" to MSEB for the valuation of company's plant and machinery, in order to sell these off.
"We will now appoint a valuer to value the assets and then transfer them to MSEB for the price that

the valuer arrives at," the official said.
"It (Enron) was left with no choice other than to serve the transfer notice as the ongoing discussions with the government of India, Indian financial institutions are yielding no significant progress toward a fair and reasonable solution."
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/pb For more information and to contact AFX: www.afxnews.com and www.afxpress.com

Shell: Enron India Oil, Gas Assets Buy Talk "Speculative"

11/06/2001
Dow Jones Energy Service

SINGAPORE -(Dow Jones)- The Royal Dutch/Shell Group's (RD) unit in India Tuesday described as "speculative" industry talk that it was interested in acquiring Enron Corp.'s (ENE) Indian upstream assets, if BG Group PLC's (BRG) acquisition of the assets collapses.
"We wouldn't comment on market speculation," said S. Ravi, Shell's corporate spokesman in India.
The New Delhi-based managing director of Shell India Production Development BV - Shell's oil and gas exploration division in the country - also declined to comment on the matter when contacted by Dow Jones Newswires. He reiterated that the industry talk was "speculative."
Industry sources have said Shell has expressed an interest in acquiring Enron India's upstream assets and held informal talks with BG's unit in New Delhi at the end of October to discuss the matter.
BG paid US$388 million for Enron's 30% stake in oil and gas fields offshore western India in October, but the sale is subject to a number of consents and conditions including confirmation from Enron and Gas India's joint venture partners - Oil & Natural Gas Corp. (P.ONG) and Reliance Industries Ltd. (P.REL) - that BG will inherit field operator status from Enron.
ONGC and Reliance Industries are challenging BG's goal of acquiring Enron's operatorship of the offshore Tapti gas field and the Panna/Mukti oil and gas field. As reported Thursday, BG said it will extend the negotiation period on the operatorship of the fields indefinitely.
The company has threatened to walk away from the deal if it didn't win outright operatorship.
"Shell are willing to enter if BG walk out - they're standing in line," an industry source said. He added Shell was amenable to a joint-partnership, implying it was flexible on the issue of operator status.
Another source added, "Global developments indicate that Shell may take over (the Indian upstream assets of) Enron, and that may change the equation in India."
Analysts say BG's bid for operator status will continue to face stiff resistance from ONGC and Reliance. Enron's upstream oil and gas assets in India hold proven and probable reserves of around 170 million barrels of oil equivalent.

BG India was unavailable for comment.
According to a report published January in India's Financial Express, Shell had explored the possibility of jointly bidding for Enron's upstream assets in India.
Multinational energy companies are positioning themselves in the Indian upstream sector to capitalize on the country's burgeoning demand for natural gas.
By 2002, India's gas supply deficit will be 86 million standard cubic meters a day, and about 248 million standard cubic meters/day by 2012.
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Enron Plans To Sell 50% Of S Korean JV With SK Corp

11/06/2001
Dow Jones International News

SEOUL -(Dow Jones)- Enron Corp. (ENE) plans to sell its 50% stake in a gas distribution joint venture with South Korea's SK Corp. (Q.SKP), said an official at the venture, SK-Enron, Tuesday.
The official, who declined to be named, said Enron is in talks to sell the stake to a third party. He said SK Corp. isn't thinking of buying the stake.
The official declined to comment further or provide details.
The Houston-based energy giant is seeking to sell a stake in the company in its bid to cope with an escalating financial crisis.
Officials at Enron weren't immediately available for comment.
Enron posted a third-quarter charge of more than $1 billion to write off some failed investments. The company also disclosed an additional $1.2 billion reduction in shareholders' equity caused by the early termination of controversial outside partnerships run by its former chief financial officer.

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Tractebel, Enron In 245 MW Mexican Cogeneration Project

11/06/2001
Dow Jones International News

BRUSSELS -(Dow Jones)- Belgian energy group Tractebel (B.TRB), the energy arm of French utility group Suez (F.SZE), said Tuesday that it has invested in a 245 megawatt cogeneration plant near Monterrey, Mexico.
In a press release, Tractebel said it will hold 80% of the project and Enron Corp. (ENE) will own 20%.
The $189 million project is currently under construction and scheduled to go into commercial operation in late 2002, Tractebel said.

The new cogeneration plant, located in an area for industrial use outside Monterrey, will be able to produce 245 MW of electricity and up to 235 metric tons per hour of steam.
Long-term power purchase agreements have been signed, Tractebel said, as well as a 15-year gas supply contract.
Tractebel, through its subsidiary, Tractebel de Mexico, already owns three natural gas distribution companies in Mexico.
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Seven Oil-Services, Drilling Firms Record 10% Share-Price Hit Last Week.

11/06/2001
The Oil Daily

Shares of many leading energy companies suffered sharp share-price declines last week amid a drop in the broader equity market and falling crude oil prices.
The Dow Jones Industrial Average fell 2.3% to close at 9,323 on Friday, following a gloomy week for broad economic fundamentals. The US Department of Commerce announced that the US economy shrank by 0.4% in the third quarter - the first quarterly drop in economic growth since first-quarter 1993 - and the Department of Labor reported that US unemployment soared to 5.4% last month, up from 4.9% in September.
Concerns about the faltering economy created anxiety about crude oil demand. The price of front-month light, sweet crude on the New York Mercantile Exchange (Nymex) closed at $20.18/barrel on Friday, down nearly $2/bbl on the week (OD Nov.5,p3).
US natural gas prices continued to firm, with front-month Henry Hub prices on the Nymex closing at $3.24/million Btu, up 20? on the week.
Although gas prices rose, the drop in oil prices caused some oil-services and drilling companies to give back some of the big gains they had recorded the prior week (OD Oct.30,p6). Halliburton, Pride International, Noble Drilling, Petroleum Geo-Services, Ensco International, Schlumberger, Transocean Sedco Forex, and Global Marine each saw their shares fall by 10% or more last week (see table).
Still, corporate news was the catalyst for the biggest share-price losers. Houston-based Genesis Energy, which operates crude oil pipelines and is an independent gatherer and marketer of crude, suffered the worst drop, at 37.5%. The sharp decline was precipitated by news that the limited partnership would reduce quarterly distributions from 20? to 10? due to a credit crunch.
Unsurprisingly, Houston-based energy trading giant Enron was near the top of share-price losers list for last week. The stock has been in a free-fall since early October due to a rash of news that included the departure of two top executives and the revelation of serious balance sheet problems. Last week, Enron shares plunged by nearly 27% after credit ratings agency Moody's downgraded the company's corporate credit rating and provided a gloomy outlook for its future (OD Nov.5,p1).
Among last week's stock winners, troubled Norwegian service firm Kvaerner topped the list with a gain of about 24%. Kvaerner shares jumped after the company agreed to a financial reorganization plan with its biggest shareholder, Russian major Yukos, and its top creditors (OD Oct.31,p6).
CMS Energy saw its shares rise by about 7% on the back of higher gas prices and the sale of its gas operations in Equatorial Guinea to Marathon for nearly $1 billion in cash (OD Nov.5,p1).
Paul Merolli.

Gas Prices Plunge on Weather Forecasts, Enron-Linked Market Maneuvers.

11/06/2001
The Oil Daily

Natural gas prices were pummeled Monday on more forecasts for extended balmy temperatures through late November.
The December natural gas futures contract on the New York Mercantile Exchange (Nymex) settled at $2.922/million Btu on Monday, down 32.6?.
The fundamental argument for lower gas prices has been intact for some time, supported by mild weather in key consuming regions this week and forecasts for more of the same through the third week of November. The National Weather Service's new forecast for the next six to 10 days sees a broad area of above-normal temperatures covering most of the US, with below-normal readings

relegated to portions of the East Coast, West Coast, and Florida.
But fundamentals aside, there is emerging evidence that technical price support - arguably linked to Enron's financial travails and subsequent maneuvers in the market - is also eroding.
A major liquidation of contract positions on the Nymex has occurred amidst the Houston-based company's much-publicized financial problems. Recent open interest in the front-month contract peaked on Oct. 25 at 374,681 contracts, and then fell off a cliff, down 12% over the next four trading days. The first reports of credit problems at Enron began dribbling out on Oct. 24.
The likely cause for the open interest contraction is that Enron began unwinding positions to boost its cash on hand, influencing last week's technical movements in gas futures.
According to the most recent Commodity Futures Trading Commission report, commercial long and short positions dropped by 65,429 and 56,195 contracts, respectively, over the Oct. 30 trading week.
"The number of futures contracts outstanding (open interest), has been declining. This indicates a short covering rally in force," said Morgan Stanley futures specialist Alan Levine. "Underlying fundamentals have not turned bullish; we expect at least one more leg down to test $2.80 [per million Btu] in the next few weeks."
Andrew H. Ware.

Enron Credit Web Site Lists No Rating For Enron Corp.
By Christina Cheddar
Of DOW JONES NEWSWIRES

11/05/2001
Dow Jones News Service

NEW YORK -(Dow Jones)- Enron Credit is a Web site created by Enron Corp. (ENE) to help provide traders with tools to hedge against credit exposure - except, it seems, when it comes to trading in Enron.
The Enron-operated site tracks more than 10,000 companies, giving each a rating known as the "Enron cost of credit." The rating is expressed as an interest rate, and a higher rate indicates increased credit exposure.
Previously, Enron ranked itself among the companies for which it provides data, but a recent trip to the site showed that when asked for Enron's own cost of credit, the site was "temporarily not showing prices for this company."
Why no listing for Enron?
"The situation is too fluid," said an Enron spokeswoman. She said it was common for Enron Credit analysts to stop listing a company when its credit situation is "volatile."
Other companies currently not listed by the service include PG&E Corp. (PCG), the parent of bankrupt California utility Pacific Gas & Electric Co., and Compaq Computer Corp. (CPQ), which is being acquired by Hewlett-Packard Co. (HWP).
The spokeswoman said she didn't know when Enron's listing had been pulled from the site, or what its last posted rating was.
However, not all references to Enron were pulled.
According to the Web site's graphing section, which charts the cost of credit for companies over time, the average cost of credit for companies in the gas sector is 1.07, but Enron's own cost of credit is listed at 8.51 for the same period. This is based on a three-year liability.
By comparison, Enron's rivals in the merchant energy marketing and trading arena have sharply lower rankings. For example, Dynegy Inc. (DYN) weighs in at 1.26, while El Paso Corp. (EPG) is at 1.90, and Williams Cos. (WMB) at 1.38.
The Enron spokeswoman was surprised to discover the listing and said it was appearing "by mistake." She confirmed the information was accurate. Enron is updating its rating internally.

Enron Credit Under Microscope

Enron's credit has been under the microscope since the company posted a third-quarter charge of more than $1 billion to write off some failed investments. The company also later disclosed an additional $1.2 billion reduction in shareholders' equity caused by the early termination of controversial outside partnerships run by its former chief financial officer Andy Fastow.
In the weeks that followed the disclosure, Enron's credit rating was first downgraded by Moody's Investor Service, and then by Standard & Poor's.
Earlier Monday, Fitch cut Enron's senior unsecured debt to triple B-minus, and maintained the company's rating on a negative watch.
If Enron's debt falls below investment grade, the company will be in violation of some of its financial covenants. The status could result in the company having to issue additional equity, which would dilute the value of the stock.
Late last week, Enron secured a $1 billion credit line in order to bolster its credit position, but needed to pledge its valuable pipeline assets as collateral to secure the credit line.
The decline in Enron's credit rating also has basically dried up activity on Enron Credit, according to a person familiar with the matter.
Previously, a party could purchase a credit derivative from Enron as protection against default by a third party. But doubts about Enron's own position have caused customers to go elsewhere for this type of protection.
Enron hasn't previously disclosed the revenue generated by the Web site, and several analysts who follow the company said they don't calculate revenue from the business into their earnings models.
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